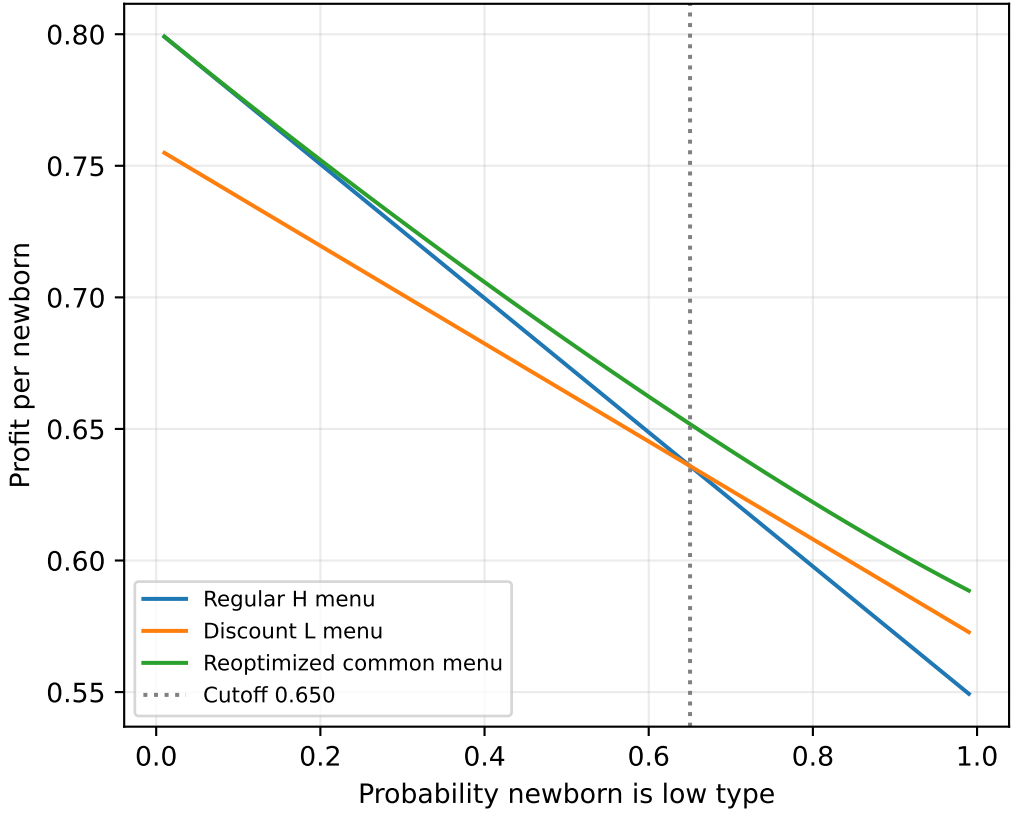
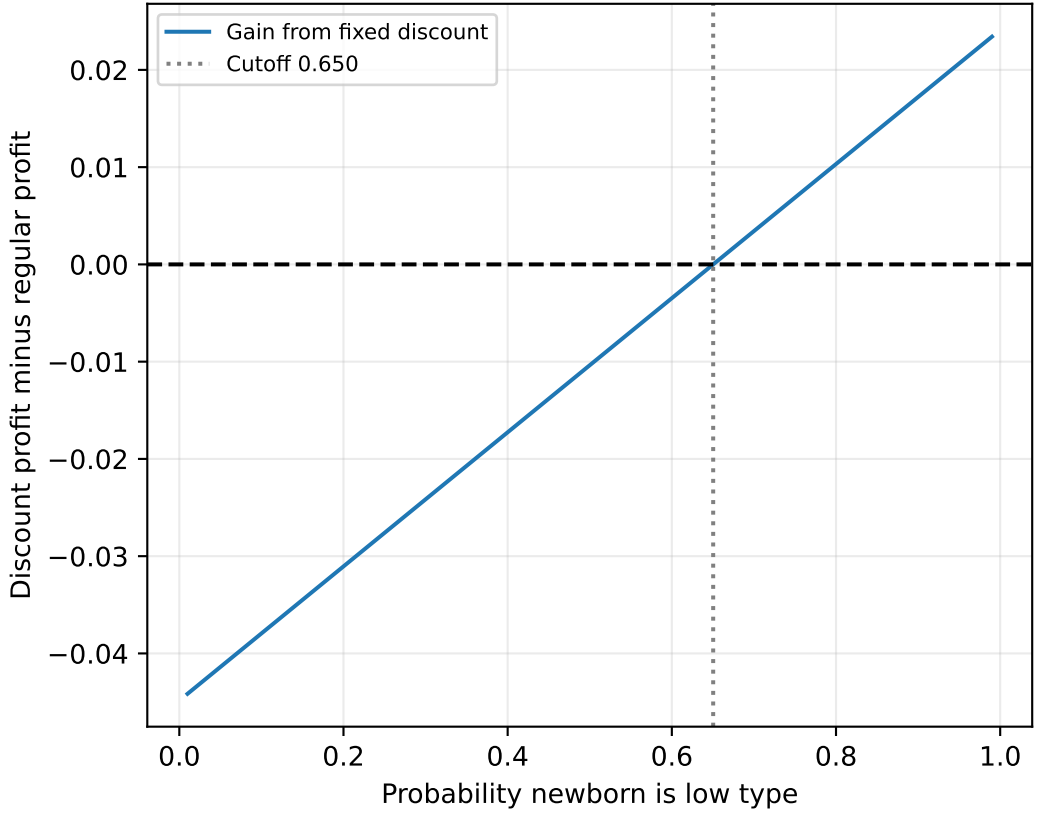

Profit per newborn
0.80
0.75
0.70
0.65
0.60
0.55
0.0
0.2
0.4
0.6
0.8
1.0
Probability newborn is low type
Regular H menu
Discount L menu
Reoptimized common menu
Cutoff 0.650


Discount profit minus regular profit
0.02
0.01
0.00
−0.01
−0.02
−0.03
−0.04
0.0
0.2
0.4
0.6
0.8
1.0
Probability newborn is low type
Gain from fixed discount
Cutoff 0.650